

**THE PUNJAB ENERGY EFFICIENCY AND CONSERVATION
AGENCY ACT 2025
(XXIV of 2025)**

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1THE PUNJAB ENERGY EFFICIENCY AND CONSERVATION AGENCY ACT 2025

(XXIV of 2025)

[2nd May, 2025]

An
Act

to provide for the establishment of the Punjab Energy Efficiency and Conservation Agency.

It is necessary to make provisions for the establishment of the Punjab Energy Efficiency and Conservation Agency as 'designated agency' under the National Energy Efficiency and Conservation Act, 2016 (XXX of 2016) for implementing the provisions of the said Act and for the matters connected therewith and ancillary thereto.

Be it enacted by Provincial Assembly of the Punjab as follows:

1. Short title, extent and commencement.— (1) This Act may be cited as the Punjab Energy Efficiency and Conservation Agency Act 2025.

- (2) It extends to the whole of the Punjab.
- (3) It shall come into force at once.

2. Definitions.— (1) In the Act:

- (a) "Act" means the Punjab Energy Efficiency and Conservation Agency Act 2025;
- (b) "Agency" means the Punjab Energy Efficiency and Conservation Agency established under section 3 of the Act;
- (c) "Category-I officer" means Category-I officer as provided in the Punjab Delegation of Financial Rules 2016;
- (d) "Fund" means the Punjab Energy Efficiency and Conservation Agency Fund provided under section 9 of the Act;
- (e) "Government" means Government of the Punjab;
- (f) "Managing Director" means the Managing Director of the Agency;
- (g) "NEECA Act" means the National Energy Efficiency and Conservation Act, 2016 (XXX of 2016);
- (h) "PEECP" means the Punjab Energy Efficiency and Conservation Program of the Energy Department of the Government;
- (i) "prescribed" means prescribed by the rules or the regulations;
- (j) "regulations" means the regulations framed under the Act; and
- (k) "rules" means the rules made under the Act.

(2) A word or expression used but not defined in the Act, shall have the same meaning as assigned to it in the NEECA Act.

3. Establishment of the Agency.— (1) The Government shall, after the commencement of the Act, by a notification in the official Gazette, establish the Agency to be known as the Punjab Energy Efficiency and Conservation Agency.

¹This Act was passed by Provincial Assembly of the Punjab on 21 April 2025; and was assented to by Governor of the Punjab on 02 May 2025; and was published in the Punjab Gazette (Extraordinary), dated: 02 May 2025, pp. 4251-4254.

(2) The Agency shall be a body corporate, having perpetual succession and a common seal, with powers to enter into contracts, acquire and, subject to sub-section (3), dispose of both movable and immovable property in accordance with law, and may, by the said name, sue or be sued.

(3) The Agency shall not dispose of its immovable property without prior approval of the Government.

(4) The Agency shall have its main office in Lahore and may establish regional offices at such cities as may be necessary.

(5) All existing employees of the PEECP, on establishment of the Agency, shall stand transferred to the Agency and perform their services thereunder.

(6) All existing assets, liabilities, properties whether moveable or immoveable, of the PEECP, on the establishment of the Agency, shall stand transferred to the Agency and any reference to the PEECP shall be read and construed as a reference to the Agency.

4. Composition and meetings of the Agency.— (1) The Agency shall consist of:

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| (a) | Secretary to the Government, Energy Department. | Chairperson |
| (b) | Secretary to the Government, Planning and Development Board or his representative not below the rank of an Additional Secretary. | Member |
| (c) | Secretary to the Government, Finance Department or his representative not below the rank of an Additional Secretary. | Member |
| (d) | Secretary to the Government, Transport Department or his representative not below the rank of an Additional Secretary. | Member |
| (e) | Secretary to the Government, Environment Protection Department or his representative not below the rank of an Additional Secretary. | Member |
| (f) | Secretary to the Government, Industries, Commerce, Investment and Skills Development Department or his representative not below the rank of an Additional Secretary. | Member |
| (g) | President Lahore Chamber of Commerce and Industry or his representative. | Member |
| (h) | Vice Chancellor of the University of Engineering and Technology Lahore or his representative. | Member |
| (i) | Managing Director of the Agency. | Member/Secretary |

(2) The Agency shall hold its meetings, at least, thrice a year or as and when required on the direction of the Chairperson.

(3) The meeting of the Agency shall be presided over by the Chairperson and, in his absence, by the member nominated by the Chairperson.

(4) The meetings of the Agency shall be conducted in accordance with its regulations for conduct of business or until so framed as the Agency may determine.

(5) The Agency may, for its assistance, co-opt any technical expert having specialized knowledge but such technical expert shall have not any right to vote.

(6) The presence of not less than fifty percent of the total members of the Agency shall be necessary to constitute a quorum for its meetings and its decisions shall be made in terms of the opinion of the majority members present and voting. In case of a tie, the vote of the Chairperson or in his absence, the member presiding over the meeting shall have the casting vote.

(7) No act or proceeding of the Agency shall be invalid merely by reason of any vacancy or defect in the constitution of the Agency.

5. Functions and powers of the Agency.– (1) The Agency shall act as the designated agency under the NEECA Act and exercise such powers and perform such functions as are provided under the NEECA Act.

- (2) The Agency, in addition to the functions provided under the NEECA Act, may:
- (a) create posts and recruit employees, hire consultants, technical experts and other professionals as and when required on such terms and conditions as it may prescribe;
 - (b) appoint as many inspecting officers as may be necessary for the purpose of ensuring compliance of the NEECA Act;
 - (c) on its own initiative or upon a complaint, require any person to get energy audit carried out within the time stipulated by the Agency;
 - (d) undertake awareness, institutional development and capacity building measures for effective implementation of the provisions of the NEECA Act;
 - (e) constitute such administrative, financial and technical committees for the efficient performance of its functions as may be necessary and entrust to such committees such functions as it may consider necessary except those assigned to it under the NEECA Act;
 - (f) prepare and approve its annual budget in accordance with the procedure prescribed by the Government;
 - (g) get audited its accounts;
 - (h) frame, amend or repeal regulations;
 - (i) make decisions, issue guidelines or prescribe procedures for administration of its Fund;
 - (j) maintain a complete and accurate record of its actual expenses and receipts; and
 - (k) perform any other function as may be assigned to it by the Government or the Energy Department, as the case may be.

6. Managing Director.– (1) There shall be a Managing Director of the Agency who shall be appointed by the Chief Minister on such terms and conditions as may be prescribed or until so prescribed as may be determined by the Chief Minister.

- (2) The Managing Director shall serve during the pleasure of the Chief Minister.
- (3) The Managing Director shall:
- (a) be the Chief Executive Officer of the Agency;
 - (b) be a Category-I officer;
 - (c) be responsible for the day-to-day administrative and financial affairs of the agency;

- (d) be responsible to execute all decisions of the Agency; and
- (e) exercise such other powers and perform such other functions as may be assigned to him by the Agency.

7. Public servants.— The employees, advisors, consultants acting or purporting to be acting under the provisions of the Act, shall be deemed to be the public servants within the meaning of section 21 of the Pakistan Penal Code 1860 (XLV of 1860).

8. Termination of employment.— (1) The Agency may, at any time, terminate the services of an employee by serving thirty days' prior notice or on payment of thirty days salary in lieu of the notice.

(2) The employee of the Agency may, at any time, resign from the service by serving thirty days' prior notice to the Agency or on payment of thirty days salary in lieu of the notice.

9. Fund, account and audit of the Agency.— (1) There shall be a Fund of the Agency to be known as the Punjab Energy Efficiency and Conservation Agency Fund which shall consist of:

- (a) funds, loans or grants provided by the Government;
- (b) loans or grants provided by the Federal Government;
- (c) loans or grants received from any other government, Agency or authority or international donor; and
- (d) any other sums received by the Agency.

(2) The Fund shall be kept in one or more accounts in a Scheduled Bank as decided by the Agency.

(3) The Agency shall not incur any debt without prior approval of the Government.

(4) The accounts of the Agency shall be audited by the office of the Auditor General of Pakistan annually.

(5) The Government may, in addition to the audit under sub-section (4), direct the Agency to get its accounts audited by a registered firm of auditors or well-known individual auditor having at least ten years audit experience, as a third party audit.

10. Annual Performance Report.— (1) The Agency shall prepare its annual performance report and submit it to the Government by the end of January each year.

(2) The Government shall, within three months of the receipt of the annual performance report from the Agency, cause it to be laid in Provincial Assembly of the Punjab.

11. Imposition of fine.— If a person is found to be contravening the provisions of the Act, he shall be imposed a fine by the Agency in accordance with section 18 of the NEECA Act, after providing a reasonable opportunity of hearing to that person.

12. Rules.— The Government may, by notification in the official Gazette, make rules for carrying out the purposes of the Act.

13. Regulations.— The Agency may, by notification in the official Gazette and with prior approval of the Energy Department, make regulations not inconsistent with the provisions of the Act and the rules made thereunder.

14. Indemnity.— No civil suit, prosecution or other legal proceedings shall lie against the Chairperson, Members or employees of the Agency or any person exercising any power or

performing any act carried out or contemplated to be carried out in good faith in furtherance of the provisions of the Act, rules or regulations made thereunder.

15. Removal of difficulty.— If any difficulty arises in giving effect to the provisions of the Act, the Government may give such directions, not being inconsistent with the provisions of the Act, as may appear to be necessary for removing such difficulty.

16. Savings.— All acts done, decisions made and action taken including appointments and contracts made under the PEECP immediately before establishment of the Agency, shall remain intact unless altered, repealed or amended by the Agency.